? AAA MCQ readiness — rapid-fire question → answer

Cover the right column, answer aloud, check. All answers from the ICAI study material (May 2026 edition) and the Nov 2026 RTP (**red**).

Professional ethics (Ch 19)

Question	Answer
Max tax audits a member can sign in a financial year?	***60**; aggregate (individual + as partner); not shareable between partners; revised reports not counted*
Tax audits excluded from the 60 limit?	*Under s.44AD, 44ADA, 44AE*
Max company audits per member / partner at any time?	***30** (excluding OPCs and dormant companies)*
Chapter IX fee cap applies to statutory auditor of public company with turnover of…?	***₹50 crore or more** (also PSUs, Government cos, listed) — other fees ≤ audit fee; excludes other-statute audits, certification, representation*
Indebtedness limit to the auditee (member/firm/relative)?	*Above statutory limits, other cases **above ₹1,00,000***
Credit card of the bank you audit — allowed?	*Yes, if balance outstanding beyond credit period ≤ ₹1,00,000*
Substantial interest threshold?	***20%** of votes or profits*
Teaching limit for a member doing attest functions?	***25 hours a week** (SM)*
Cooling-off before auditing a company after directorship?	***2 years***
Sick unit (for Cl (8)/Ch VII) — registered for?	***5 years or more**, accumulated losses ≥ net worth*
Second office exemption distance / active association?	***50 km** of municipal limits; **182 days***
Board of Discipline penalty vs Disciplinary Committee?	*BoD: reprimand, removal up to **3 months**, fine up to **₹1 lakh**; DC: any period, fine up to **₹5 lakh**; appeal within **90 days***
Imprisonment that is "other misconduct" vs professional misconduct?	*Up to 6 months → First Sch Part IV; **more than 6 months** → Second Sch Part III*
UDIN from?	*Certificates 1 Feb 2019; GST/tax audit 1 Apr 2019; all other attest 1 Jul 2019*
Client money held in advance for services?	*Clause (10) Part I Second Schedule — keep in a **separate bank account***
Communicating with previous auditor — which clause?	***Clause (8)** Part I First Schedule (in writing, proof of delivery)*
Accepting audit without checking s.139–141 compliance?	***Clause (9)** Part I First Schedule (now "or any other law pertaining to appointment of auditors")*
Acting as auditor in contravention of the Companies Act 2013?	***New Clause (5) Part II Second Schedule***
Contingent / percentage fees?	*Clause (10) Part I First Schedule (except where permitted by Regulation 192)*
Soliciting / advertisement / website push mode?	*Clause (6) Part I First Schedule (website must be "pull")*
Due diligence failure / gross negligence?	*Clauses (7) and (8) Part I Second Schedule*
KYC norms apply to?	*All assignments pertaining to **attestation functions** (mandatory)*
Network: Form A / B / C / D timings?	*Name approval (A), reserved **3 months**, register (B) within 3 months; changes (C) and outside-India network (D) within **30 days***
Code of Ethics 2026 — company audit limit?	*40 under the Code — but write **SM answer (30)** and add one line (not in RTP)*

Reporting (Ch 7) and completion (Ch 6)

Question	Answer
Matter disclosed in FS, fundamental to understanding?	**Emphasis of Matter** (SA 706)
Matter NOT in FS, relevant to understanding the audit (e.g. branches audited by others, FEMA notices not in FS)?	**Other Matter** paragraph (SA 706)
Can a KAM replace a modified opinion?	**No**
Material misstatement, not pervasive?	**Qualified** ("except for", not "subject to")
Can't get evidence; possible effects material and pervasive?	**Disclaimer**
Going concern basis inappropriate?	**Adverse**
Going concern uncertainty adequately disclosed?	Unmodified + **"Material Uncertainty Related to Going Concern"** section
Written representation date?	As near as practicable to, but **not after**, report date (SA 580)
Prior year unaudited — how to report?	**Other Matter** paragraph + still verify opening balances (SA 710 / 510)
Fraud ₹1 crore or more (s.143(12)) — timelines?	To Board/AC in **2 days** → reply in **45 days** → to Central Govt within **15 days**
Fraud below ₹1 crore?	To Audit Committee/Board within 2 days; disclosed in Board's report
Penalty for not reporting fraud?	₹5 lakh (listed) / ₹1 lakh (others)
IFC reporting not required for private company with?	Turnover < **₹50 crore** and borrowings < **₹25 crore**; or OPC / small company
CARO — private company exemption limits?	Capital + reserves ≤ **₹1 crore**, borrowings ≤ **₹1 crore**, revenue ≤ **₹10 crore** (all three; not holding/subsidiary of public co)
CARO clause for working capital limits over ₹5 crore?	**3(ii)(b)** — quarterly returns agree with books?
CARO — undisputed dues outstanding for more than?	**6 months** — 3(vii)(a)
CARO — unspent CSR (non-ongoing) to Schedule VII fund within?	**6 months** of year end — 3(xx)(a)
Only CARO clause in report on consolidated FS?	**3(xxi)**
CARO — loans overdue more than?	**90 days** — 3(iii)(d)
CARO — inventory discrepancy reportable?	**10% or more** in aggregate for each class — 3(ii)(a)
Nidhi — NOF to deposits ratio?	**1 : 20**; 10% unencumbered term deposits — 3(xii)
Listed auditor resigning within 45 days of quarter end?	Issue the report for that quarter first (SEBI)
Event after report date, before FS issued?	Discuss with management; if FS amended → new report (SA 560)

Quality control (Ch 1) and general principles (Ch 2)

Question	Answer
Audit file assembly within?	**60 days** of auditor's report
Retention of audit documentation?	At least **7 years** from report (or group report, if later)
Listed audit engagement partner rotation?	Normally within **7 years**
Independence confirmation from staff?	At least **annually**
SQC 1 — how many elements?	**6** (leadership, ethics, acceptance, HR, engagement performance, monitoring)
Revenue recognition fraud risk — presumed?	Yes, rebuttable (document reasons) — SA 240
Management override of controls?	Always a significant risk — journals, estimates, unusual transactions
Laws with direct effect on FS (tax, pension) — SA 250 response?	Obtain sufficient appropriate evidence of compliance
Other laws (licence, environment) — response?	Inquiry + inspect correspondence with authorities
Joint audit — common areas responsibility?	**Joint and several** (SA 299)
Service organisation report needed to rely on controls?	**Type 2** (design + operating effectiveness over a period)
Significant internal control deficiencies — to whom?	In writing to **TCWG** and management (SA 265)

Banks (Ch 14 Unit 1)

Question	Answer
Due date 31 March unpaid — SMA-1 / SMA-2 / NPA dates?	**30 April / 30 May / 29 June** (D+30, D+60, D+90)
Limit not reviewed within how many days → NPA?	**180 days**
Renewal letter issued 10 April (after year end, before report) — classification?	**Standard** (adjusting event, AS 4)
Stock statement for drawing power — max age?	**3 months**
Temporary extra limit?	Up to **20%** of limit, max **90 days**
Central Government-guaranteed loan overdue — NPA when?	Only when guarantee **invoked and repudiated** (State guarantee → after 90 days)
Classification — facility-wise or borrower-wise?	**Borrower-wise**
Standard account restructured → ?	Becomes **sub-standard**
NPAs eligible for sale?	NPA for at least **2 years**; without recourse; cash upfront
Risk weight on NPA purchased from another bank?	**100%**
Bank minimum CRAR?	**9%**
Housing loan ₹60 lakh — risk-weighted amount?	50% → **₹30 lakh** (above ₹75 lakh → 75%)
SLR — which section?	**s.24 BR Act**; checked on odd dates, **not Fridays**; Form VIII (SLR), Form A (CRR)
Refinance from NABARD/SIDBI — in DTL?	**Excluded** (also capital, reserves, RBI loans, margins on funded facilities)
Interest accrued on deposits not yet booked — in DTL?	**Included**
Non-banking immovable property max holding?	**7 years** (s.9 BR Act)
Dividend before adequate bad-debt provision?	Not allowed — **s.15 BR Act**
Dormant account?	No transaction for over **2 years**
Inward clearing cheque — call customer from?	**₹5 lakh** and above
AFS → HTM shift approved by?	**Board** (ALCO alone not enough)
Who appoints auditor of a nationalised bank?	Its **Board**, with prior RBI approval (banking company: AGM)

NBFCs (Ch 14 Unit 2)

Question	Answer
NPA days for NBFC from 31 March 2026?	**More than 90 days** (120 in 2025, 150 in 2024)
Sub-standard period: Base vs Middle layer?	Up to **18 months** / up to **12 months**
Doubtful provision — secured part?	20% (≤1 yr), 30% (1–3 yrs), 50% (>3 yrs); unsecured 100%
Sub-standard provision?	**10%**
Standard asset provision Base / Middle?	**0.25% / 0.40%** (Upper: category-wise)
Upper layer: housing ₹200 cr, CRE ₹50 cr, others ₹100 cr — provision?	**₹1.40 crore**
Capital: Middle layer?	Tier I **10%**, CRAR **15%** (Upper + CETI 9%)
Capital: Base layer?	No CRAR — leverage ≤ **7**
Gold-loan NBFC?	Tier I **12%**, CRAR 15%
Consumer credit risk weight?	**125%**
NBFC exempt from registration from 1 July 2026?	No public funds + no customer interface + assets **below ₹1,000 crore**
Minimum NOF for new NBFC?	**₹10 crore**
Deposit-taking NBFC of ₹350 crore — layer?	**Middle** (any size)
Statutory Auditor's Certificate — due?	Within **5 working days** of signing audit report, not later than **31 December**
Exception report goes to?	RBI — Department of Non-Banking Supervision (only contraventions)
Rating downgrade — report to RBI within?	**15 working days**
NBFC-MFI qualifying %?	**60%** of assets in microfinance; 4 quarters fail → remediation plan

Evidence, planning, review, assurance

Question	Answer
Negative confirmation allowed when?	Low risk, many small homogeneous balances, low exception rate expected
Management refuses confirmation request?	Ask reasons; if unreasonable → TCWG; alternative procedures; may modify
Inventory count impracticable?	Alternative procedures; else **modify** opinion (SA 501)
Internal auditor direct assistance — not on?	Significant judgments, high-risk areas (SA 610)
Auditor's expert — refer in unmodified report?	**No** (SA 620)
Strategy vs plan?	Strategy = scope, timing, direction; plan = nature, timing, extent of procedures (SA 300)
Types of misstatement (SA 450)?	Factual, judgmental, projected
Review of interim FS by entity's own auditor?	**SRE 2410** (by another practitioner: SRE 2400)
Forecast vs projection?	Forecast = best-estimate assumptions; projection = hypothetical assumptions (SAE 3400)
Agreed-upon procedures — assurance?	**None**; factual findings; restricted to agreeing parties (SRS 4400)
Compilation — assurance / independence?	None / not required (SRS 4410)
Summary FS report (SA 810) — condition?	Auditor must have audited the complete FS
Pro forma financial information in prospectus?	**SAE 3420** (reasonable assurance)

Group, PSU, internal audit, due diligence, digital, ESG

Question	Answer
Max gap in subsidiary's reporting date (AS / Ind AS)?	**6 months / 3 months**
Form for salient features of subsidiaries?	**AOC-1** (s.129(3))
Government company?	**51%+** held by Central/State Government(s) — s.2(45); listing irrelevant
C&AG directions on manner of audit — section?	**s.143(5)**
C&AG term?	**6 years or age 65**, earlier
Wasteful but within-rules expenditure audit?	**Propriety audit**
Internal audit — unlisted public company thresholds?	Capital ₹50 cr+ / turnover ₹200 cr+ / borrowings over ₹100 cr / deposits ₹25 cr+ (preceding year)
Internal audit — private company thresholds?	Turnover ₹200 cr+ or borrowings over ₹100 cr
Newly covered company — internal auditor within?	**6 months**
Investigation vs audit — periodicity?	Investigation: no fixed period, specific purpose; audit: periodic
Phishing e-mail targeting the Chairman/CEO?	**Whaling**
Controls over access, change management, backup?	**IT general controls**
BRSR — how many principles?	**9**

Last 5 minutes: reread every **red** line + the tax audit (60, not shareable), CARO (6 months, 90 days, 10%), s.143(12) (₹1 crore, 2/45/15 days), NBFC (90 days, 18/12 months, 0.25/0.40%).